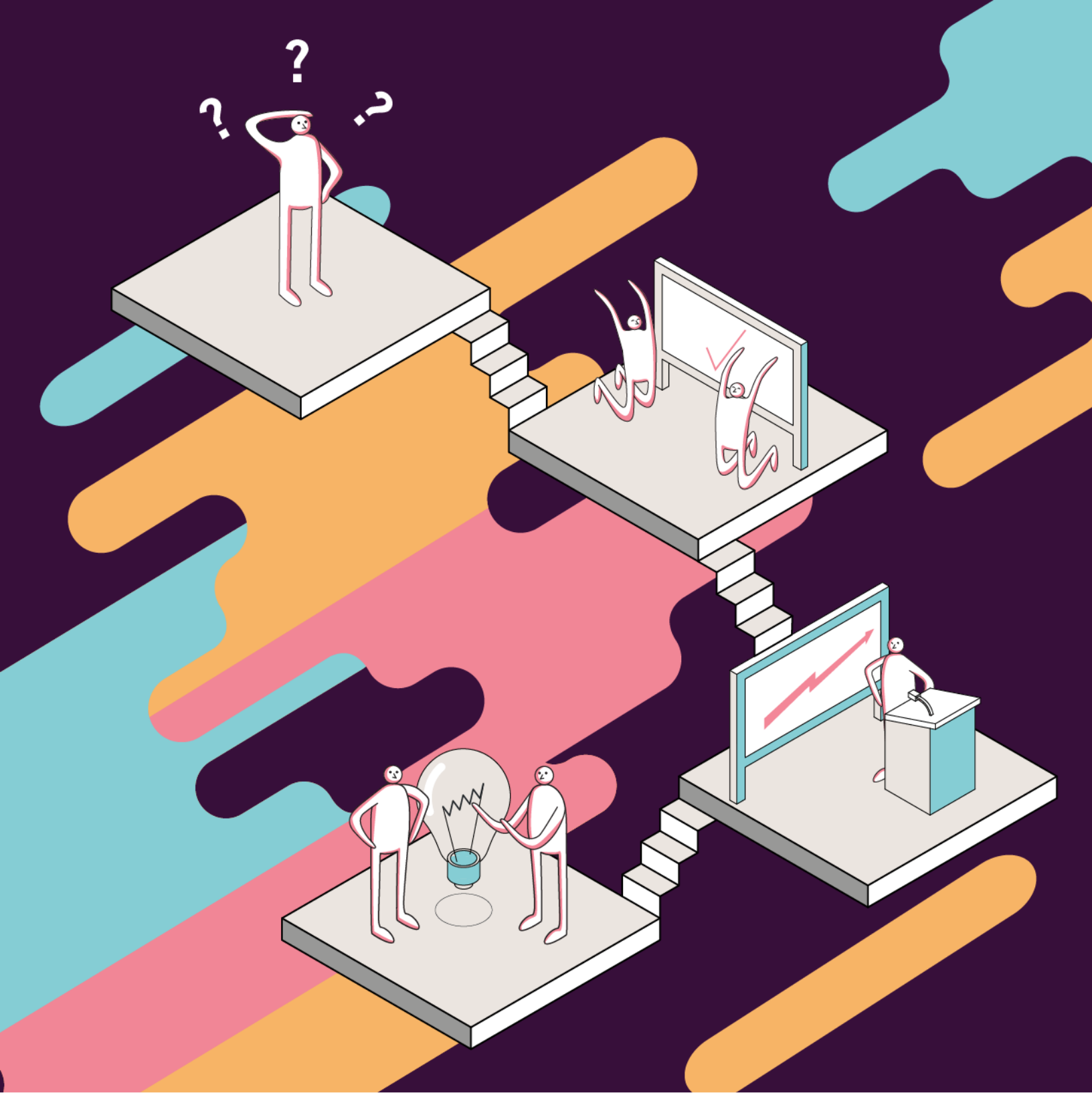
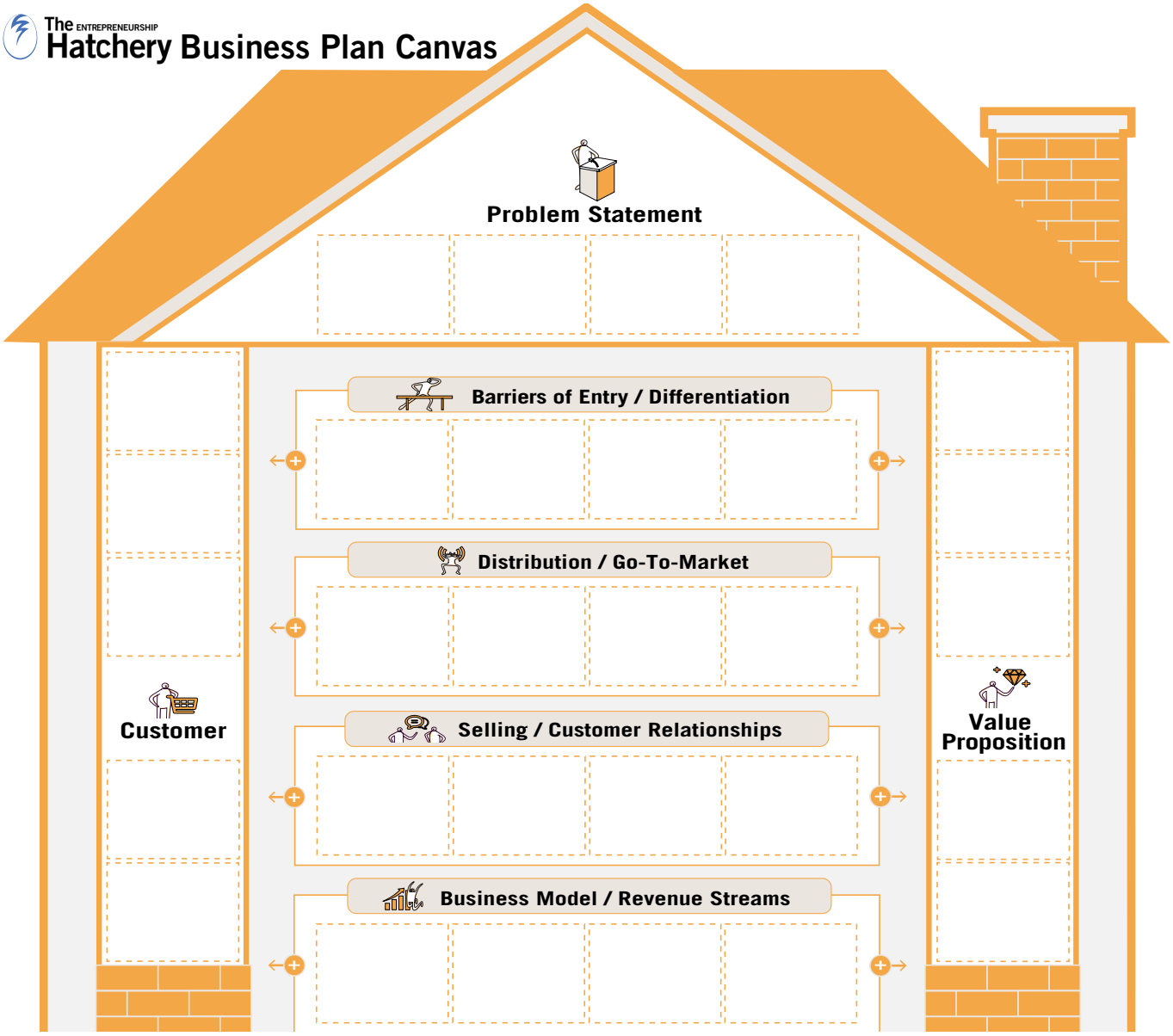


HATCHERY
BUSINESS PLAN CANVAS

The ENTREPRENEURSHIP Hatchery Business Plan Canvas



BUSINESS PLAN CANVAS

The Hatchery Business Plan Canvas is a document that defines your startup company. It is the blueprint on how you envision the company to be built and defines its path to success. It is a living document that should be nourished and updated.

1.

: A problem statement is the definition of the meaningful problem to be addressed by your startup company. It is important for the problem to be unambiguous and clear.

a. Your problem statement is your hypothesis/guess of the problem that you are solving.
b. Think about how the problem impacts your customers/users.
c. How severe/serious is the problem, what are the implications if it is not addressed (metrics)?
d. How is the problem currently solved - or is it?

Eg.: *"... Prosthetic limbs offer an amputee with a wide range of motion without providing them with detailed feedback and sensation. The amputee thinks of the prosthesis as a foreign object and not their own body part, we believe we can solve this..."*

2. CUSTOMER

Concept: Who values the solution of the problem you are solving?

a. Who are the customers you are solving the problem for?
b. Who are the customers that value the solution?
- Refine the customer segment: you cannot solve everybody's problem
    i. Who are the paying customers?
    ii. Who are the users?

c. What is their archetype? Describe their persona.
d. How many of them do you think there are out there?
e. What would motivate the customer to become users of your solution?

3. VALUE PROPOSITION

Concept: The value perceived by paying customers and users of the proposed solution. This value may be financial, cultural or social.

a. What are the benefits that your product or service brings to your customer.
b. What are the Technical Features that support those benefits? (Define potential technology gaps?)
c. Validate with the customer:
    i. What job do they want you to get done for them?
    ii. How are you helping your customers create more value? Are you saving them money? Are you helping them make money?

4. BARRIERS OF ENTRY / DIFFERENTIATION

Concept: Understand the forces in your market that may affect your viability - substitute products/services, established competitors, new entrants and the power of suppliers and customers (value matrix and messaging).

a. What is the incumbent solution (best solution today)?
b. How would the incumbent react to your entry?
c. How is that solution being differentiated?
d. How is your solution unique?
e. How is that uniqueness protected?
f. What makes you a better mouse trap?
        analysis?
h. What is the strength of substitute products/services, established competitors, new entrants, suppliers and customers.

5. DISTRIBUTION / GO-TO-MARKET

Concept: Startup's use of inside or outside resources to deliver their value proposition to customers and achieve a differentiated advantage.

a. How do you make your product/service available to the customers when it is needed?
b. Through which channel do customers want to be reached? (Hint: not what is easier for you)
c. How can you economically and efficiently reach the customers (which one works best, which one is more cost-efficient).
d. How can your value proposition integrate into the customer's routines?

6. SELLING / CUSTOMER RELATIONSHIPS

Concept: Customer relations focuses on proactive/measured steps to engage customers with the purpose of selling and improving customer experience.

a. The selling activities/strategy needed to acquire your first customer. How and what to sell.
b. How to retain these customers (what are the customer loyalty strategies you would use).
c. Strategies to scale and accelerate the customer base.
d. How are customer relationships integrated with your business model? (Hint: self service, dedicated pre-sales and after-sales assistance, automated services, community building)
e. How to build positive long term mutual beneficial relationships between the customer and the startup company.
satisfaction metrics.
g. How costly are these customer relationships.

7. BUSINESS MODEL / REVENUE STREAMS

Concept: How does the startup generate profits while delivering a product or service to the customers.

a. Specify pricing strategies (eg: list price, features dependant, volume dependant, premium, subscription).
b. What is the process that is used by customers to pay for your product/ service.
    i. How are they paying today for the incumbent solution?
    ii. How would they prefer to pay? (Hint: have in mind intermediary fees)
c. How does each revenue stream contribute to overall revenues, how they relate to the attainable market.
d. Sales projections (hint: hockey stick? Assumptions - thought processes)

8. COST STRUCTURE

Concept: What are the inherent costs to execute the business model and run the startup company.

a. What are the financial assumptions (fixed and variable costs)?
b. Identify the most expensive resources and activities.
c. Use a 24 month cash flow projection for the operation of the business.
d. Identify economies of scale as a function of sale.

9. KEY PARTNERS

Concept: What is the network of suppliers and partners needed for the business model to work.

a. What partnerships are needed to optimize the business model, reduce risk and acquire needed resources?
b. What resources or activities do they perform for the startup (why)?
        strategic alliances with non-competitors
d. Who are the key suppliers? (Hint: how important are you to them, risk reduction, price optimization, maximize profit)

10. KEY RESOURCES

Concept: What are the most important assets to make the business model work.

a. Human: Talent/skills required in the creation and commercialization of value proposition. What team do you need to make this happen?
b. Financial: Seed funds, sales, loan, investment.
c. Intellectual: Proprietary knowledge, brands, third party IP, copyrights, partnerships (hint: what is your talent/knowledge gap)
d. Physical: Facilities, machinery, systems.
e. In general what resources are needed for: the value proposition, distribution, channel, customer relationships, revenue streams.

11. TEAM / SKILLS

Concept: Define the talent/skills of the co-founding team and the human capital needed to execute the business model.

a. Founders (what do they contribute) - assessment of ownership
b. Roles and responsibilities of co-founders and staff

12. EXECUTION / TIMELINE

Concept: Define the key activities/deliverables and its timeline to attain the ultimate goal.

a. The journey: how is the startup getting there?
b. Define a timeline with milestones to acquire your first customer.
c. Who is doing what and when?
d. Project management tools (like Asana and GANTT charts) are your best friends.